



PRESS RELEASE

BAT Kenya Delivers Resilient Results (Unaudited) for the Six Months Ended 30 June 2026 as Export Sales Recovery Offsets Domestic Market Decline Driven by Illicit Trade

- Net revenue up 5% to KShs 12.3 billion
- Cost of operations up 7% to KShs 8.0 billion
- Profit before tax up 2% to KShs 4.4 billion
- Proposed interim Dividend KShs 10 per share

Nairobi, 24 July 2026: BAT Kenya delivered resilient performance for the six months ended 30 June 2026 despite a challenging operating environment characterised by persistent illicit cigarette trade in the domestic market, constrained consumer spending and inflationary pressures on the back of macro-economic headwinds exacerbated by the ongoing Middle East conflict.

The Company's net revenue increased by 5% to KShs 12.3 billion, driven by recovery in export sales and modern oral nicotine pouch sales following the launch in June 2025. This increase offset the impact of lower sales volumes and consumer downtrading in the domestic market.

Total cost of operations increased by 7% to KShs 8.0 billion. This increase was mainly driven by higher input costs together with additional expenditure to comply with graphic health warning regulations and support the Company's multi-category product portfolio.

Operating profit increased by 1% to KShs 4.3 billion, as revenue growth and productivity savings from sustained operational efficiencies helped absorb higher input costs.

Profit before tax increased by 2% to KShs 4.4 billion, due to the increase in operating profit and higher finance income.

Commenting on the performance, BAT Kenya Managing Director, Sidney Wafula said:

“Despite a challenging operating environment marked by the continued rise in illicit cigarette trade, the company delivered resilient performance during this period. These results reflect the agility of our business in navigating an increasingly complex and dynamic environment.

“In the domestic market, the growth in illicit cigarettes estimated at 45% as at the end of 2025 (according to third-party research), remains the most significant threat to the sustainability of the legitimate industry and supported value chains. This denies the Government of much needed revenue estimated at KShs. 12 billion annually.

“Consumer disposable income was further constrained by elevated fuel prices associated with the ongoing Middle East conflict, resulting in lower cigarette sales volumes. Modern oral nicotine pouch sales continue to contribute to the Company’s revenue following the launch in June 2025.

“Our export markets were exposed to similar macro-economic challenges and adverse weather conditions while currency stability in key markets helped moderate the impact of adverse macros on revenue.

“In line with our continued commitment to deliver sustainable shareholder value, the Board of Directors has approved an interim dividend of KShs 10.00 per share for the year ending 31 December 2026.

“We remain focused on advancing BAT’s purpose of realising A Better Tomorrow™ by Building a Smokeless World. This includes accelerating Tobacco Harm Reduction through science-based innovation, alongside continued advocacy for progressive, evidence-based regulation.

“Whilst effort has been made by relevant Government agencies to address illicit cigarette trade, the continued proliferation highlights the urgent need for decisive, sustained and coordinated action to reverse this trend. We remain committed to supporting efforts aimed at strengthening enforcement to create a more predictable, compliant and sustainable operating environment that safeguards public revenues, legitimate businesses and economic growth.”

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ABOUT BAT KENYA

BAT began operations in Kenya in 1907. BAT Kenya has been listed on the Nairobi Securities Exchange (NSE) since 1969. As of 31st May 2026, the total number of shareholders was 9,805 where 9,667 were local shareholders. The Company is in the business of tobacco farming and processing, manufacturing, sale and export of cigarettes and other tobacco and nicotine products. The Company has a manufacturing plant in Nairobi and a Green Leaf Threshing Plant in Thika.

This is a strategic manufacturing hub for the BAT Group, exporting over 75% of its output to eight countries in Africa.

The Company's tobacco growing operations partner with approximately 2,200 contracted farmers in the counties of Bungoma, Busia, Migori, Meru and Homa Bay. BAT Kenya generates direct and indirect employment opportunities for more than 80,000 Kenyans through tobacco farming, tobacco processing, cigarette manufacturing, tobacco product distribution, urban and rural retailing, wholesale trade, transport, logistics and domestic procurement.

BAT Kenya is a major contributor to Kenya's economic growth, including through our year on-year investments and payments over the last six years of over KShs 100 billion to national revenue in the form of various taxes (Excise Duty, Value Added Tax (VAT), Pay as You Earn (PAYE) and Corporation Tax). BAT Kenya places sustainability at the front and center of its operations and invests in various initiatives to reduce the impact of its business and contribute to the development and protection of the communities and ecosystems in which it operates.

The Company drives various programmes in Sustainable Agriculture and Environmental Conservation, including afforestation activities through which it has recorded over 54 million surviving trees planted since 1978. BAT Kenya has been certified eight times in a row (2018 to 2025), as a Top Employer in Kenya and Africa by the global Top Employers Institute. The Company is also a member of the Kenya Business and Disabilities Network (KBDN), an organisation whose mandate is geared at championing workplace inclusivity for Persons with Disabilities.
